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The Avoidable Discount Weak Governance Brings to a PE Exit

Owen Vallis · 5 June 2026

BlackRock now wants a fifth of the standard institutional portfolio in private markets.

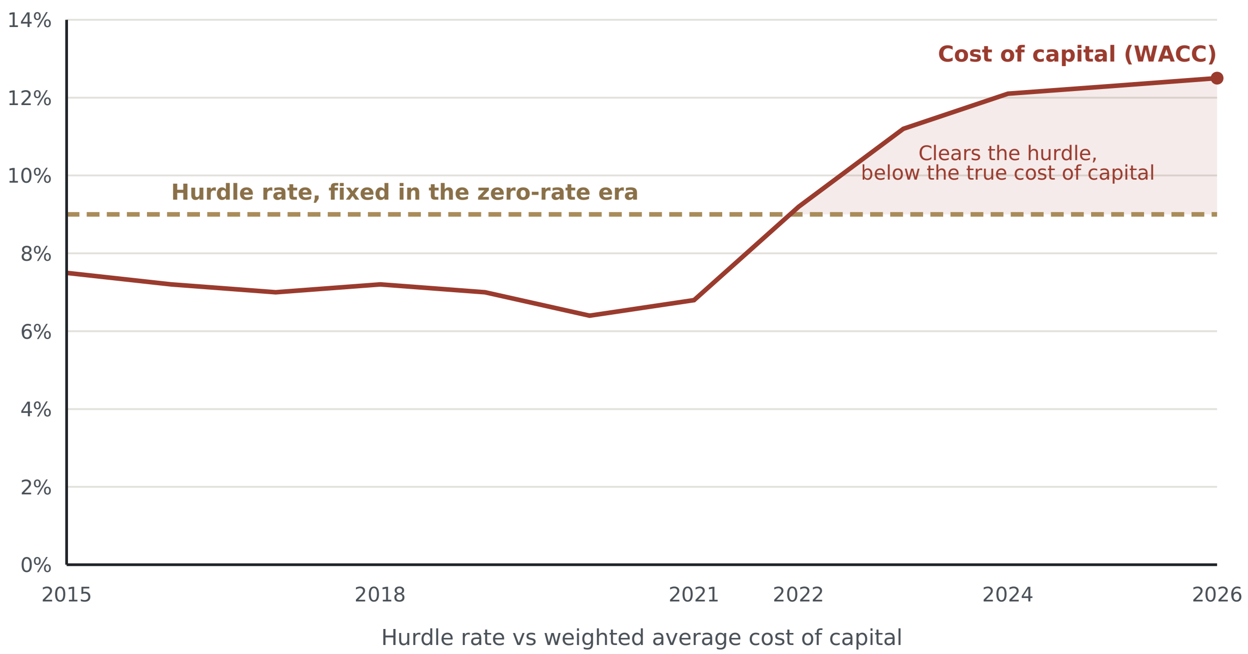
That is the headline of Larry Fink's 50-30-20 model. The force behind it, a cost of capital that has fundamentally re-based, lands hardest one level down, in the operating companies those funds are preparing to sell. Have their boards reset how they approve capex, structure their debt and price their bolt-ons for the cost of capital they now face, or are they still running the rules they wrote when money was cheap?

That question rarely appears on an exit readiness checklist. It should. A buyer asks it under deal pressure, once a stale answer has already become a reason to pay less.

The cost of capital has re-based. The governance around it has not.

Every capital decision a portfolio company's board makes runs off an assumption about the cost of capital. Most of those assumptions were set when money was close to free, and they have not moved since. Three of them now sit exposed.

Hurdle rates are out of date. Boards are still approving long-term capex, product development and bolt-on acquisitions against hurdle rates set at 8 to 10% in the cheap-money era, while their weighted average cost of capital has climbed past 12%. Every project that clears the old hurdle but falls short of the true cost of capital destroys value the day it is funded.



An investment hurdle rate fixed at about 9% in the zero-rate era, against a cost of capital that has climbed above 12% since 2022. Once the cost of capital passes the hurdle, projects that clear the old threshold no longer cover it.

The hurdle-rate and WACC figures are illustrative of a typical leveraged mid-market business.

Debt and currency exposures are uncovered. Loose board oversight of treasury was survivable when money was free. Legacy interest-rate hedges are now expiring into a higher-rate market, and the dollar's safe-haven behaviour has shifted, leaving floating-rate senior debt and international supply chains open to cash-flow shocks that land just as the exit window opens.

Capital deployment habits formed in a different market. The cheap-debt playbook of aggressive, debt-funded bolt-ons without integration discipline has become a liability. Buyers now reward organic growth, balance-sheet deleveraging and working-capital efficiency, and a diligence team reads the old playbook straight off the numbers.

This is the environment an acquirer's diligence team works in. The gap between it and the capital allocation assumptions most portfolio companies still run on is wide enough to set out in a single table.

CAPITAL ALLOCATION VECTOR	ZERO-RATE-ERA BLIND SPOT (2015 TO 2022)	2026 HIGH-RATE REALITY
Investment hurdle rates	Static low hurdles of 8 to 10%, with capex approved loosely	Cost of capital above 12%, so projects must clear far higher cash-return thresholds
Debt and rate hedging	Unhedged floating debt or short-dated rate caps	Expiring hedges expose operating cash flow to higher interest cost, needing active board oversight
Strategic capital deployment	Aggressive, cheap-debt bolt-ons without integration audits	Organic growth, deleveraging and tight working-capital discipline
Regulatory exposure	Compliance run as a back-office tick-box	Cross-border data, supply-chain and ESG rules (DORA, CSDDD) carry late-stage deal risk

The table sets out the gap between the capital allocation assumptions most portfolio companies still run on and the 2026 cost-of-capital reality.

The hurdle-rate and WACC figures are illustrative of a typical leveraged mid-market business.

The three questions an acquirer will ask

Capital allocation governance falls inside the scope of both financial and governance due diligence at a sophisticated buyer. The questions are specific, and they are answerable. Most boards have simply never been asked them under deal conditions.

The first is accountability. Which director holds formal responsibility for capital allocation and treasury risk? Is it written into a board mandate, or has it been left to management without board-level visibility?

The second is currency. When did the board last reset its investment hurdle rates against the current cost of capital, and stress its debt structure for unhedged exposure? Has it seen evidence that new capex and bolt-on acquisitions still clear the true cost of capital?

The third is challenge. Does the board receive information that surfaces a value-destroying decision before it is taken, a project approved below the cost of capital or a hedge left to expire into a refinancing, rather than after the loss has landed?

These are the same questions our Pre-Mortem Diagnostic asks. The difference is timing and cost. An acquirer asks them once, under deal pressure, when a gap has already become a negotiating lever. A pre-mortem asks them at the point where the answer can still be fixed quietly.

Why the exit window makes this urgent

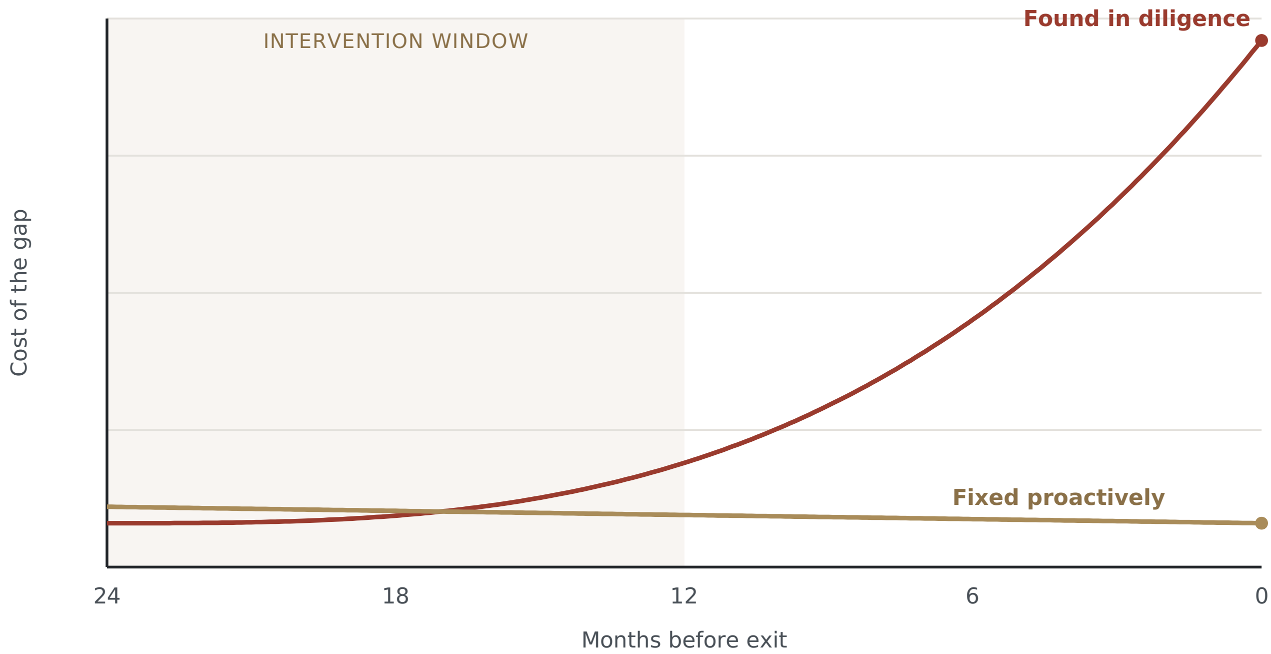
The exit environment is the most congested on record, and the buyers who now dominate it are precisely the ones most likely to examine this gap.

The McKinsey Global Private Markets Report 2026 counts roughly 16,000 companies in the global exit backlog with hold periods over four years. That is 52% of total buyout-backed inventory, the highest share recorded, and the average hold period now stands at 6.6 years. A company held that long has traded through the entire cost-of-capital shift set out above. The hurdle rates and debt structure set in year one are being tested by conditions that did not exist when they were approved.

The secondary market, meanwhile, has become a primary exit route. JP Morgan records $130 billion in secondary private equity transactions in 2025, up 31% year on year. Secondary buyers are institutional, governance-literate, and run detailed governance workstreams. They have seen this gap before, and they know which companies tend to carry it.

The intervention point

Proactive governance uplift in the 12 to 18 months before an exit costs less than reactive remediation under an acquirer's scrutiny. The work is governance audit and challenge. It resets the hurdle rates against the current cost of capital, tests the debt structure for unhedged exposure, hardens the capex and bolt-on approval discipline, and closes the regulatory gaps a buyer's diligence team would find. The Pre-Mortem Diagnostic applied to capital allocation asks one question. What in this company's capital deployment would a buyer use to justify a faster fade and a lower price? In a high-rate regime, the honest answer is usually a longer list than the board expects.



The curve is illustrative. A capital allocation gap is cheap to settle while there is still runway before a sale, and expensive once an acquirer finds it in diligence and turns it into a price chip at the close.

This is the core of our Pre-Exit SGaaS engagement, and the case for it is defensive. The fade rate a buyer underwrites is set in the operations, beyond the reach of governance. What governance can reach is the buyer's pretext to assume that fade comes faster. A diligence team that finds zero-rate-era hurdle rates still in use, an unhedged floating-rate facility, an undisciplined capital deployment record, or an unmapped regulatory exposure has exactly that pretext, and uses it to mark the price down during exclusivity, when the seller has least leverage. Pre-Exit SGaaS finds and closes those gaps in the 12 to 18 months before the process starts, benchmarks the position against what a buyer expects, and produces an independent exit-readiness opinion the seller can put in front of prospective buyers. It protects the headline price the operating business has already earned.

What to do next

Ask your CFO one question this week. Has the board reset its hurdle rates and debt strategy for the cost of capital that has prevailed since 2022, or are they still the ones set when money was cheap?

The timing gives the question weight. Global M&A reached $5.1 trillion in 2025, up 49% on the year and the highest since 2021, with sponsors under mounting pressure to return capital after holding periods stretched to six and seven years (J.P. Morgan, 2026). The exit window is open, and the buyers moving through it read the governance section of vendor due diligence closely.

Governance quality is the cheapest form of price protection a seller can buy. On a £200 million business, a single 3% chip at exclusivity is £6 million of lost value, and a stale hurdle rate or an unhedged facility is exactly the kind of gap that earns one. Closing it ahead of the process is a few months of focused work set against a valuation measured in millions, and it pays for itself the moment one chip is avoided. That is what Pre-Exit SGaaS is built to do, in the 12 to 18 months before a sale. Check out the full evidence in our white paper, and book an introductory call.

FROM THE SGAAS WHITE PAPER

Governance as a defence of the exit price

The white paper develops the full evidence base behind continuous, adversarial governance and the four-tier SGaaS delivery architecture, including the Pre-Exit tier built for the 12 to 18 months before a liquidity event.

Download the paper → **Schedule a call →**

Owen Vallis is the founder of Marentis Labs, the firm that originated Strategic Governance as a Service. He spent ten years as UK Head of Fiduciary Risk Management at Credit Suisse and served as Group Chief Risk Officer at SICO Bank. Capital allocation governance is a core component of Pre-Exit SGaaS engagements. Schedule a confidential discussion.